

Don't Put Half of Your Net Worth Into Anything

BILLIONAIRES DO NOT need my unsolicited advice. They seem to be doing just fine without me. Besides, nobody likes to hear from the cheap seats, especially when they just made a terrible, horrible, reckless, investing error that poses unnecessary risk and could cost quite literally billions of dollars.

After I read this May 3, 2018 headline, “This Billionaire Has Put Half His Net Worth Into Gold,”²⁶³ I could not help myself. “Egyptian billionaire Naguib Sawiris is taking action,” wrote Bloomberg’s Billionaire Index.²⁶⁴ He’s put half of his \$5.7 billion net worth into gold. Regardless of the outcome of this investing bet, it is very concentrated and full of unnecessary risk. At the time, \$4.75 billion of his wealth was cash.

The billionaire in question, who is buying gold directly and investing in gold miners, is No. 338 on the Bloomberg Billionaires Index and comes from the wealthiest family in Egypt. His father, Onsi Sawiris, is also a billionaire who established Orascom Group. Naguib’s youngest brother is the richest man in Egypt.

But our discussion isn’t for the benefit of the Sawiris—they can take care of themselves. Rather, it provides an opportunity for us to discuss portfolio construction, concentration, risk, and (of course!) gold. The risk to ordinary investors is that they imitate billionaire investors who have very different risk profiles than themselves.

This gold trade was full of unforced errors. Here is what we should learn from it:

- **Concentrated positions:** As we see in a later chapter regarding General Electric, employees often have too much exposure to one